

Understanding Sole Proprietorships in Kenya

A Practical Guide to Registration, Operation and Compliance

Prepared for the LexReg Portal

A sole proprietorship is the simplest form of business ownership: one individual carries on a business for their own account, whether under their personal name or under a registered business name.

The most important point is that a sole proprietorship is not a separate legal person from its proprietor. Registering a business name does not create a company or separate the owner from the business. The proprietor owns the business assets, receives its profits, bears its obligations and is personally responsible for its liabilities.

In Kenya, registration of a business name is governed principally by the Registration of Business Names Act (Cap. 499) and administered by the Business Registration Service (BRS).

1. What Is a Sole Proprietorship?

A sole proprietorship exists where one natural person carries on business for their own account. If the person carries on business under a name that requires registration under the Registration of Business Names Act, the business name is registered with the Registrar.

Individual Proprietor
↓
Registered Business Name
↓
Business Activities
↓
Income, Assets & Liabilities
↓
Tax + Operational Compliance

The registered business name identifies the business under which the proprietor trades. It does not become a separate shareholder-owned entity.

2. Sole Proprietorship vs Limited Company

The distinction is fundamental. A limited company is a separate incorporated legal person. A sole proprietorship is not.

- There are no shareholders in a sole proprietorship.
- There are no directors merely by virtue of registering the business name.
- There is no share capital.
- The proprietor and the business are not separate legal persons.
- Business liabilities may therefore expose the proprietor personally, subject to the ordinary law applicable to the particular obligation.

- The business generally uses the proprietor's individual KRA PIN rather than receiving a separate sole-proprietorship PIN.

LexReg should therefore model the business as a business interest belonging to an Individual Person Profile, rather than as though it were a company.

3. Who Is the Proprietor?

The proprietor is the individual who owns and operates the business. The registration particulars for an individual include personal identification and contact information together with information about the business.

LexReg should capture:

- full legal name;
- former names where applicable;
- nationality;
- national ID, alien ID or passport details as applicable;
- KRA PIN;
- date of birth/age information where required;
- sex where required by the statutory registration particulars;
- usual residential address;
- email and telephone contact details;
- other business occupation, where applicable; and
- capacity as proprietor.

4. The Business Name

The business name is the name under which the proprietor trades. It should be distinguished from the proprietor's personal legal name.

The proposed name is subject to the Registrar's naming requirements. It should not be identical or confusingly similar to a protected or already registered/reserved name and must comply with applicable restrictions.

LexReg should capture the proposed name, alternatives where needed, approval/reservation output, registration number and registration date.

5. What Business Information Should Be Captured?

- business name;
- general nature of the business;
- principal place of business;
- postal address;
- every other place of business, where applicable;
- date business commenced or is intended to commence;
- proprietor details;
- business contact details;

- sector/activity classification;
- licences or permits likely to be required; and
- whether the proprietor has employees, premises, vehicles, regulated activities or other operational triggers.

Under the Registration of Business Names Act, the statement of particulars includes the business name, general nature of the business, principal and other places of business, proprietor particulars and commencement date.

6. How Is a Sole Proprietorship Registered?

Stage 1 – Create or Identify the Proprietor Profile

LexReg should first identify the individual proprietor. Where the user already has an Individual Person Profile, the existing verified identity information should be reused rather than entered again.

Stage 2 – Define the Business

Capture the proposed business name, nature of business, intended commencement date and places of business.

Stage 3 – Name/Application Process

The business-name application is made through the BRS/eCitizen process. The Registrar considers whether the proposed name is acceptable and available.

Stage 4 – Complete the Registration Particulars

The application captures the applicant/proprietor, nature of business, registered office/business address, ownership information, application documents and declaration.

Stage 5 – Review and Submit

The proprietor should review the extracted and entered particulars before submission and make the required declaration.

Stage 6 – Certificate

Once the application is approved, the Business Name Registration Certificate should be downloaded and stored in the LexReg Document Vault.

7. Core Documents

For a Kenyan resident proprietor, LexReg should keep the initial onboarding deliberately simple and request only the documents needed to identify the proprietor and support the business-name application.

- National ID / Alien ID or other applicable identity document;
- individual KRA PIN Certificate; and
- Business Name Registration Certificate once issued.

Where the relevant details can be securely extracted from existing documents or a verified LexReg Person Profile, the user should not be asked to type them again.

Foreign or special-status proprietors may require additional immigration, identity or tax documentation. LexReg should request those documents conditionally rather than from every applicant.

8. OCR and Reuse of Existing Information

The intended LexReg workflow should minimise manual entry.

Upload / Retrieve ID + KRA PIN
↓
OCR / Data Extraction
↓
Review & Confirm Proprietor
↓
Enter Business Details
↓
Registration Workflow
↓
Certificate Issued
↓
Create Sole Proprietorship Profile

If the proprietor already exists in LexReg, the system should reuse verified identity and PIN information and ask only for information specific to the new business.

9. Registration Deadline

The Registration of Business Names Act requires the statement of particulars to be furnished within twenty-eight days after the individual commences business under, or commences to use, the business name where registration is required.

LexReg should therefore record the commencement date and warn the user where the statutory registration period is approaching or has passed.

10. Tax Identity

A sole proprietorship does not ordinarily receive a separate KRA PIN distinct from its owner. KRA expressly states that a sole proprietorship uses the proprietor's individual PIN for transactions.

This means LexReg should link the tax profile of the business to the proprietor while still separately tracking the business's income, expenses and operational obligations.

11. Tax Obligations

The tax obligations applicable to the proprietor depend on the nature and scale of the business and the tax laws in force. LexReg should not assume one fixed tax profile for every sole proprietorship.

The onboarding questionnaire should therefore ask questions capable of triggering relevant tax workflows, for example:

- What is the nature of the business?
- What is the expected annual turnover?
- Does the business make taxable supplies?
- Does the business employ staff?

- Does it import or export goods?
- Does it make payments that may trigger withholding obligations?
- Does it operate from commercial premises?

Applicable obligations should be generated from the answers and current tax rules rather than hard-coded permanently into the entity type.

12. County Business Permits and Sector Licences

Registration of the business name does not necessarily authorise the proprietor to carry on every proposed activity. County permits and sector-specific licences may also be required.

LexReg should therefore separate:

Business Name Registration
↓
County / Premises Requirements
↓
Sector-Specific Licences
↓
Operational Compliance

The exact licences depend on the business activity and location.

13. Business Bank Account and Financial Records

Although the proprietor and business are not separate legal persons, good administration requires business finances to be identifiable and properly recorded.

- business bank/mobile-money records where appropriate;
- sales and income records;
- purchase and expense records;
- invoices and receipts;
- tax records;
- asset records;
- contracts; and
- supporting documents.

Separating business records from purely personal records makes accounting, tax compliance and legal review substantially easier.

14. Business Assets

Assets used in a sole proprietorship generally belong to the proprietor rather than to a separate incorporated entity. LexReg should therefore distinguish between:

- assets personally owned but used by the business;
- assets acquired specifically for business use;

- leased assets; and
- assets subject to financing or security.

The Asset Register should record ownership, acquisition date, supporting documents, location, value where relevant and disposal history.

15. Contracts and Liability

Because the business is not a separate legal person, contracts entered into for the sole proprietorship are ultimately obligations of the proprietor.

LexReg documents should therefore identify the contracting party accurately, for example by referring to the proprietor trading under the registered business name where appropriate, rather than treating the business name as though it were a limited company.

16. Employees

If the proprietor employs staff, the business becomes subject to applicable employment and payroll obligations.

LexReg should ask a simple trigger question:

Does the business employ, or intend to employ, any person?

If YES, activate the Employment Compliance Module, including appropriate employee records, contracts, payroll/statutory obligations, leave, workplace policies and other applicable requirements.

17. Data Protection and Operational Compliance

A sole proprietorship may collect customer, employee, supplier or other personal data. It may also occupy premises, operate vehicles, sell regulated products or undertake activities requiring licences.

LexReg should therefore activate compliance according to operational facts, including where relevant:

- data protection;
- employment;
- tax;
- county permits;
- sector licences;
- health and safety;
- consumer protection;
- contracts;
- insurance;
- intellectual property; and
- property/premises obligations.

18. Changes in Business Particulars

The Registration of Business Names Act requires specified changes in registered particulars to be notified to the Registrar within twenty-eight days. These include changes to the business name, principal or other place of business and nature of the business.

BRS identifies BN4 as the form/service for changes in business particulars.

LexReg should treat a change as a recorded event:

Existing Particular
↓
Proposed Change
↓
Effective Date
↓
BN4 / Registrar Filing
↓
Approval / Updated Record
↓
Preserve Historical Particular

Old information should not simply be overwritten.

19. Does a Sole Proprietorship File Company Annual Returns?

No company annual return should be generated merely because the user has a registered business name. A sole proprietorship is not a company under the Companies Act.

Instead, LexReg should generate the proprietor's actual recurring obligations: tax filings, licence/permit renewals, employment obligations where applicable, and any sector-specific requirements.

20. Business Records and Document Vault

The Sole Proprietorship Profile should provide a structured repository for:

- Business Name Registration Certificate;
- proprietor identity and KRA records;
- licences and permits;
- tax filings and correspondence;
- contracts;
- employee records where applicable;
- insurance;
- asset records;
- banking/financial records where appropriate;
- lease or premises documents; and
- BRS change/cancellation records.

21. Cessation or Cancellation

If the proprietor stops carrying on the business, the business-name record should be formally dealt with rather than simply abandoned in LexReg.

BRS identifies BN6 as the cancellation process for a business name. The system should capture the cessation/cancellation date, supporting filing and final output while retaining the historical business profile.

Separate closure tasks may also be required for tax obligations, county permits, employees, contracts, bank arrangements, leases and licences.

22. Conversion or Growth into Another Structure

As the business grows, the proprietor may decide that a different legal structure is more appropriate, such as a private limited company or another available structure.

LexReg should not treat this as simply changing the entity type. The new structure is legally distinct and may require registration, transfer or novation of assets and contracts, tax review, licence updates and other transition steps.

The portal can nevertheless use the existing Sole Proprietorship Profile to reduce repeated data entry during the transition.

23. How LexReg Can Help

Registration

- proprietor identity capture;
- OCR extraction from ID and KRA PIN;
- business-name and activity questionnaire;
- address capture;
- registration checklist;
- BRS application data preparation; and
- certificate storage.

Business Profile

- proprietor link;
- business name and registration details;
- business addresses;
- business activities;
- licences and permits;
- asset register;
- employee status; and
- document vault.

Compliance

- tax calendar;
- county permit renewals;
- sector licence renewals;
- employment compliance;

- data-protection obligations;
- insurance and premises reminders; and
- change-of-particulars triggers.

Legal & Compliance Review

- outdated registration particulars;
- missing licences or permits;
- tax-registration/compliance gaps;
- employee-compliance gaps;
- missing contracts;
- poor asset documentation;
- personal/business record mixing; and
- business activities that have outgrown the current legal structure.

24. Suggested LexReg Workflow

Select: Sole Proprietorship
↓
Identify / Create Individual Proprietor
↓
Upload ID + KRA PIN
↓
OCR + Review
↓
Proposed Business Name
↓
Nature of Business
↓
Business Address(es)
↓
Operational Trigger Questions
↓
Review & Confirm
↓
BRS Registration
↓
Upload / Retrieve Certificate
↓
Create Sole Proprietorship Profile
↓

Select: Sole Proprietorship
Generate Compliance Calendar

25. The Key Principle

A sole proprietorship is simple to establish, but its simplicity should not be confused with legal separation.

The Individual owns the business
↓
The Business Name identifies the trade
↓
The Proprietor bears the rights and obligations
↓
Tax follows the proprietor
↓
Operational activities generate compliance duties

For LexReg, the most important design principle is therefore to connect the sole proprietorship to the proprietor's Individual Person Profile while maintaining a separate Business Profile for registration, operations, records and compliance.

Important Note

This guide provides general information about sole proprietorships and business-name registration in Kenya. It does not constitute legal, tax or financial advice for a particular business. Registration procedures, fees, tax thresholds and licensing requirements may change and should be verified when action is taken.

Key Legal and Regulatory References

- Registration of Business Names Act (Cap. 499) – Kenya Law:
<https://new.kenyalaw.org/akn/ke/act/1951/48/>
- Registration of Business Names Rules – Kenya Law: <https://new.kenyalaw.org/akn/ke/act/ln/1975/136/>
- Business Registration Service – Companies Registry / Business Names:
<https://brs.go.ke/companies-registry/>
- Kenya Revenue Authority – Individual PIN Registration:
<https://www.kra.go.ke/individual/individual-pin-registration>